



Qualification Programme Examination Panelist's Report

Module 2 – Management Accounting (June 2021 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Multiple Choice Questions

General Comments

This paper consisted of 20 multiple choice questions. Candidates should allocate approximately 36 minutes for this section.

The syllabus of this paper relates broadly to the following topics:

- (a) Explain the role and purpose of management accounting;
- (b) Apply cost accounting;
- (c) Apply the principles and techniques for budgeting and forecasting; and
- (d) Analyse information for performance measurement.

Questions in Section A cover a wide range of topics in the syllabus. Most candidates performed fairly well in this section. Some candidates, however, were weak in some of the topics. Overall performance in this section was good.

Specific Comments

Candidates performed well with the high-low method for forecasting expenditure and preparation of operating budgets, but were weak in the following topics:

- (a) Strategic management accounting;
- (b) Cost behaviour;
- (c) Absorption vs marginal costing; and
- (d) Financial performance measures.

(II) Section B – Written Questions

General Comments

The questions in this section aimed to test the candidates on their conceptual understanding and the related application to specific situations. In general, candidates performed well in computational questions but were weak in answering essay-type questions. Candidates need to perform well on both computational and essay-type questions in order to obtain good results.



Candidates who scored high marks were able to present their answers in response to what was required, supporting their answers with relevant workings and/ or explanations.

Most candidates performed well in Question 2. Overall performance in this section was fair.

Specific Comments

Question 1(a) – 7 Marks

This question required candidates to calculate the number of equivalent units for materials transferred-in, materials added, and conversion costs.

Performance was less than satisfactory. Many candidates were not able to distinguish between materials transferred-in and materials added and thus were not able to calculate their respective equivalent units.

Question 1(b) – 4 Marks

This question required candidates to calculate the costs per equivalent unit for materials transferred-in, materials added, and conversion costs.

Performance was fair. Most candidates were able to grasp the technique needed to calculate the cost per equivalent unit for materials transferred-in, materials added, and conversion costs by relating to the related costs and the answers from part (a).

Question 1(c) – 8 Marks

This question required candidates to calculate the costs of units transferred to the next process, abnormal loss/ gain, and closing work in process ("WIP").

Performance was unsatisfactory. Only one candidate was able to obtain full marks for this part. Most candidates were not able to correctly calculate the costs of units transferred to the next process, abnormal loss/ gain, and closing WIP. Thus, they were only able to obtain a few marks for workings/ correct steps.

Question 1(d) – 3 Marks

This question required candidates to describe joint products and by-products.

Performance was unsatisfactory. Most candidates were not able to articulate the differences between joint products and by-products by referring to the relative saleable values.



Question 2(a) – 8 Marks

This question required candidates to calculate the selling prices per unit for the two products using traditional absorption costing on a machine hour basis.

Performance was good. Many candidates were able to get full marks for this part.

Question 2(b) – 16 Marks

This question required candidates to calculate the cost driver rates for the four production overheads and the selling prices per unit for the two products using activity-based costing.

Performance was also good. Many candidates were able to calculate the cost driver rates for the four production overheads and the selling prices per unit for the two products using activity-based costing. However, a few candidates failed to provide the cost driver rates as required despite being able to correctly determine the selling prices per unit for the two products using activity-based costing.

Question 2(c) – 4 Marks

This question required candidates to contrast the selling prices per unit for the two products calculated under the two absorption costing systems in parts (a) and (b).

Performance was unsatisfactory. Most candidates were not able to explain that the differences in selling prices were due to under-costing or over-costing on certain overheads. A few candidates simply did not answer this part.

Question 3(a) – 4 Marks

This question required candidates to calculate the price and quantity variances for direct materials.

Performance was satisfactory. Many candidates were able to calculate either the price variance or the quantity variance for direct materials. A few candidates provided correct calculations but did not denote whether it was a favourable or adverse variance as required.

Question 3(b) – 6 Marks

This question required candidates to calculate the rate, idle time, and efficiency variances for direct labour.

Performance was less than satisfactory. Most candidates were not able to calculate both the idle time and efficiency variance for direct labour. A few candidates presented the answers incorrectly as percentages or ratios.



Question 3(c) – 4 Marks

This question required candidates to calculate the spending and efficiency variances for variable manufacturing overheads.

Performance was unsatisfactory. Many candidates failed to answer this question, while a few candidates presented the answers incorrectly as percentages or ratios.

Question 3(d) – 2 Marks

This question required candidates to justify the policy to calculate the price variance for direct materials at the time of receipt.

Performance was unsatisfactory. Only one candidate was able to correctly state the benefit of bringing the variance to the attention of management at an earlier time. The other candidates either failed to answer or provided imprecise explanations for this part.

Question 3(e) – 4 Marks

This question required candidates to calculate the labour production ratio and labour capacity ratio.

Performance was satisfactory. Many candidates were able to correctly calculate the labour production ratio.

Question 4(a) – 4 Marks

This question required candidates to explain the objective of using total quality management ("TQM") and to state the four categories of cost of quality.

Performance was unsatisfactory. Many candidates were not able to precisely explain TQM nor to name all the four categories of cost of quality.

Question 4(b)(i) – 2 Marks

This question required candidates to analyse whether either or both projects should be taken when the investing decisions are made centrally.

Performance was satisfactory. Many candidates were able to recommend taking both projects but not able to precisely explain the justification.

Question 4(b)(ii) – 4 Marks

This question required candidates to justify whether the decisions in part (b(i)) would be different if the divisional manager had the power to make all investment decisions within his/ her division.



Performance was satisfactory. Many candidates were able to recommend the correct decision but were not able to provide the precise justification.

(III) Conclusion and Recommendation

Candidates' performance on questions on strategic management accounting and variance analysis was unsatisfactory. As stated in the last examination panelist's report, strategic management accounting is increasingly important due to the advancement of technology and the development of data analytics in business environments and will thus be a popular topic for examination.

Candidates are advised to read carefully the requirements of the questions. As seen in Question 2(b), a few candidates lost marks as a result of a failure to provide the cost drivers rates as required despite being able to correctly provide the selling prices per unit for the two products using activity-based costing. Moreover, some candidates demonstrated a lack of confidence when answering essay-type questions and performed badly on these parts. Candidates should note that considerable weighting is attached to essay-type questions to test their understanding of fundamental concepts concerning management accounting and their applications. Mere avoidance of these questions will cause them to lose marks. Therefore, candidates are advised to spend time overcoming this lack of knowledge and improving their written presentation.